

KILAMBI RESEARCH

How the Largest Economies Fund Debt Service

Interest, refinancing, and the fiscal arithmetic of the United States, China, Germany, Japan, and India

This research note separates the interest bill from principal refinancing and primary deficits. It combines World Bank central-government fiscal series with sovereign yields, Japan Ministry of Finance budgets, IIF debt ratios, and SIFMA issuance totals.

SEPTEMBER 2026 RESEARCH NOTE FIVE-ECONOMY COMPARISON

Five figures. Source definitions and data vintages are stated with the estimates.

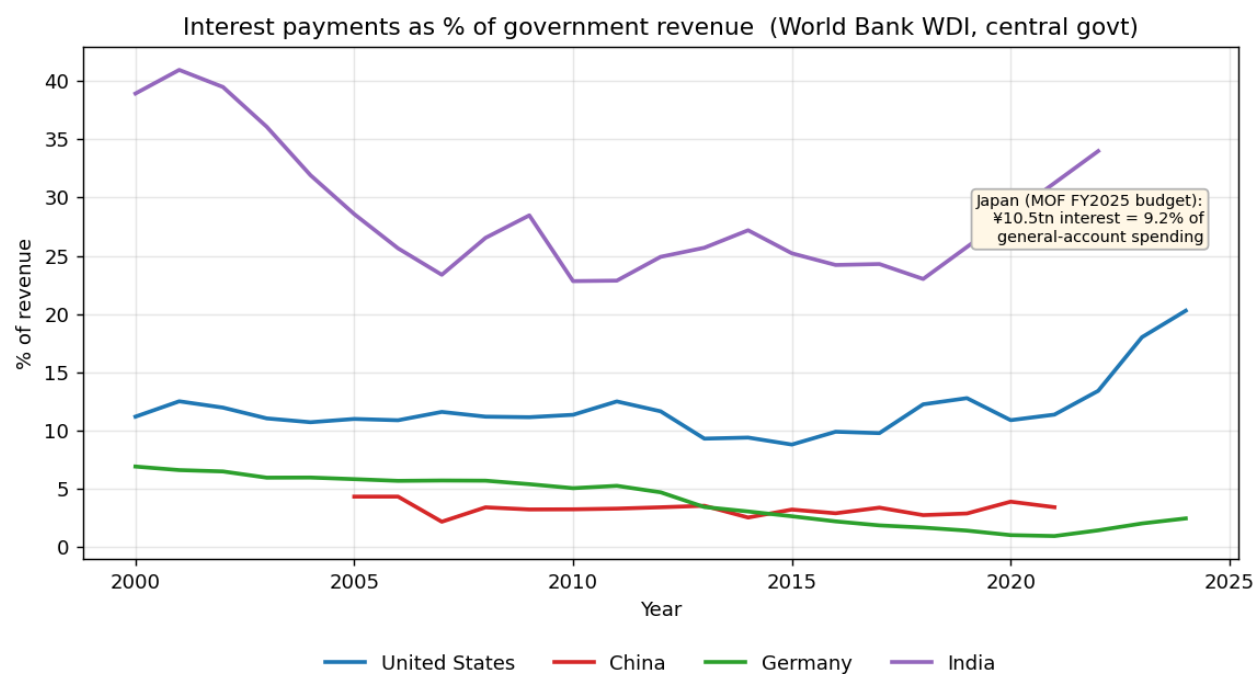
Executive findings

- **Principal is refinanced rather than repaid from annual revenue.** Japan's FY2025 issuance plan consists of approximately 83% refunding bonds. US gross Treasury issuance in 2024 was approximately \$29.3 trillion against roughly \$2 trillion of net issuance, implying that refinancing accounted for about 93% of gross issuance.
- **Interest is the cash burden that competes with current spending.** US central-government interest expenditure rose from 10.9% of revenue in 2020 to 20.3% in 2024, or approximately 3.6% of GDP. India recorded the highest observed burden: 34% of revenue in 2022.
- **Interest can account for much of the borrowing requirement.** Interest represented approximately 45% of US net borrowing in 2023. Across India's available 2015–2022 observations, interest accounted for approximately 93% of the aggregate borrowing requirement.
- **The five economies have different fiscal positions.** Germany's latest observed interest burden was approximately 2.5% of revenue; China's was approximately 3.4% in 2021. Japan's FY2025 interest budget was ¥10.5 trillion. The Ministry of Finance projects ¥16.1 trillion for FY2028.

Interpretation

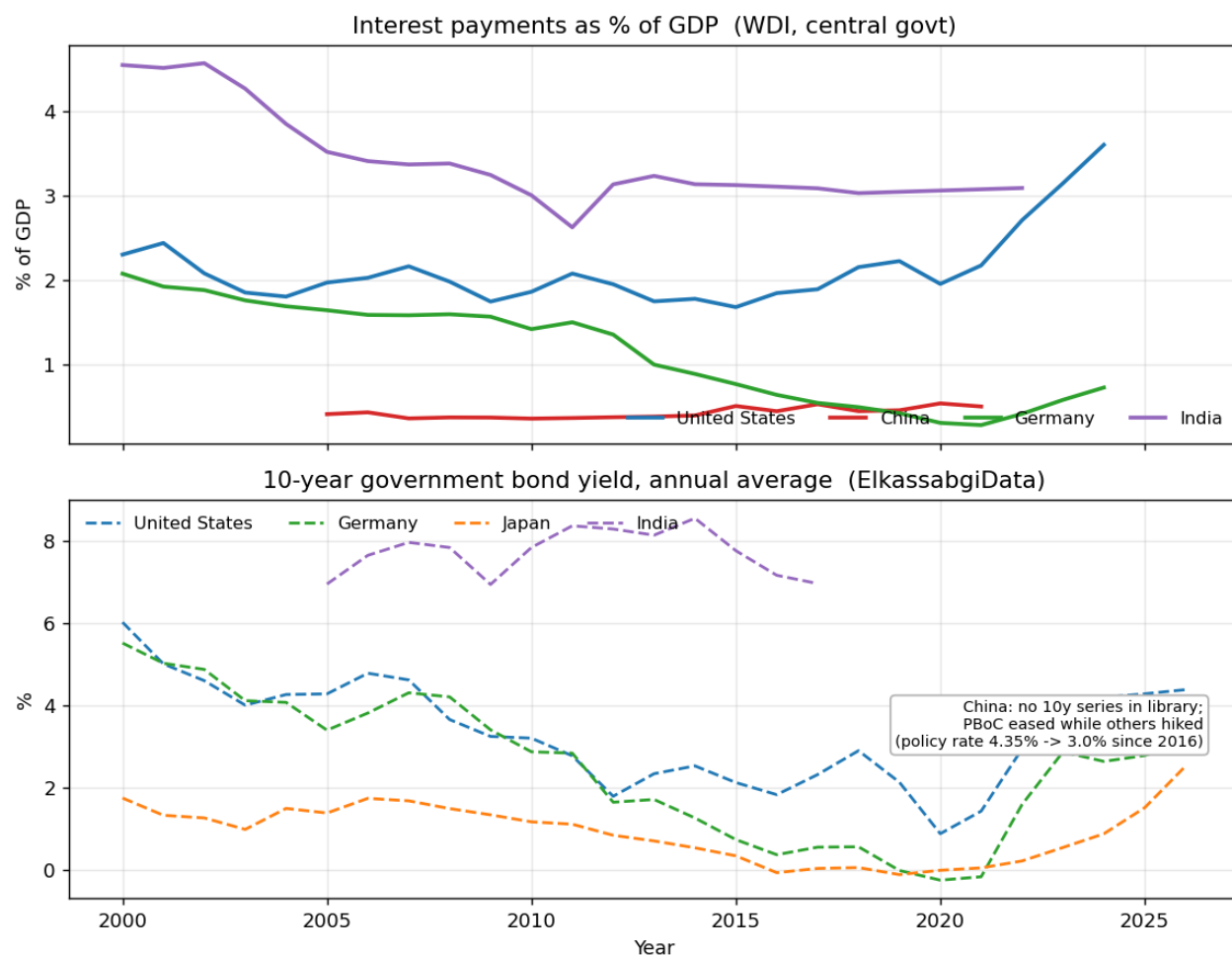
The annual constraint is not principal repayment in full. It is whether revenue can absorb interest expenditure while markets refinance the debt stock at acceptable rates and maturities.

Interest burden as a share of revenue



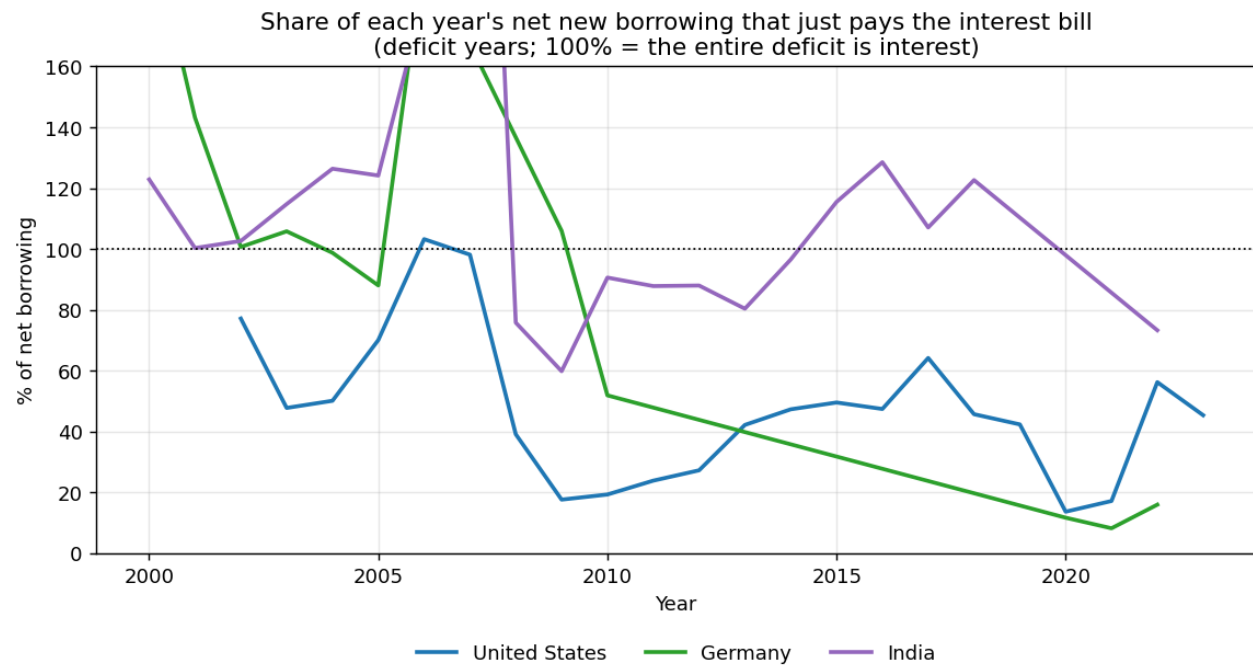
World Bank World Development Indicators central-government series. The Japan annotation uses the FY2025 Ministry of Finance budget.

Interest burden and sovereign yields



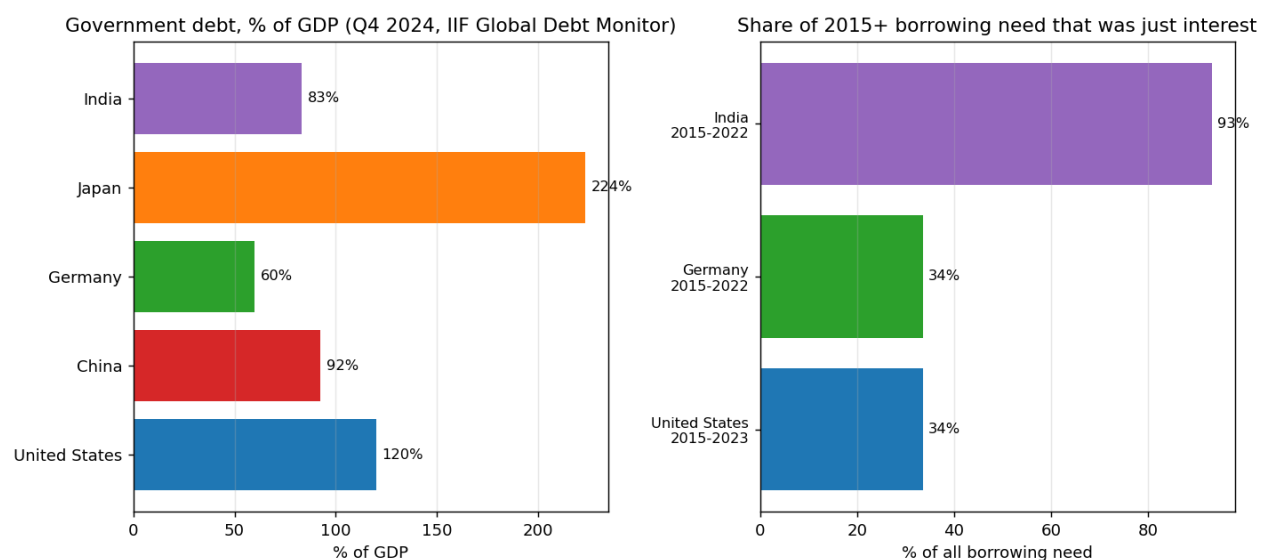
Fiscal ratios are central-government values. Yield series are national or IMF series compiled through the ElkassabgiData library.

Interest expenditure as a share of net borrowing



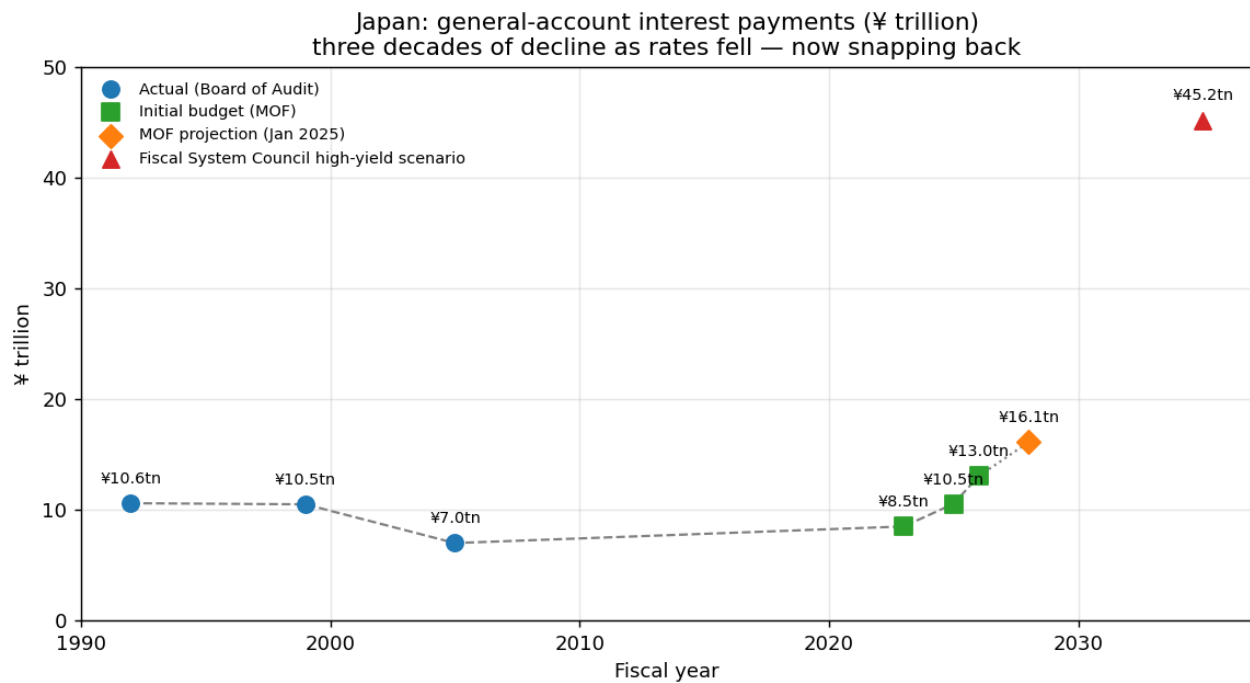
Deficit years only. The ratio divides interest expenditure by net borrowing; values above 100% indicate a primary surplus.

Debt scale and the composition of borrowing need



Debt ratios are from the IIF Global Debt Monitor, Q4 2024. Borrowing-need shares use available World Bank fiscal observations beginning in 2015.

Japan's interest expenditure



Historical actuals and budget values use official Japanese sources. Projections are distinguished from observations.

Method and source notes

Fiscal series. World Bank World Development Indicators for central-government revenue, expenditure, interest payments, and debt. Interest as a share of GDP is derived as interest divided by revenue, multiplied by revenue as a share of GDP. The primary balance equals the overall balance plus interest. Interest as a share of net borrowing divides interest as a share of GDP by the deficit as a share of GDP for deficit years.

Yield series. Federal Reserve Board H.15 for the United States, Deutsche Bundesbank for Germany, Sveriges Riksbank reference series for Japan, and IMF International Financial Statistics for India, compiled through the ElkassabgiData library. No comparable free China 10-year series was available in the research library.

Japan. FY1992, FY1999, and FY2005 actuals are from the Board of Audit of Japan. FY2023, FY2025, and FY2026 initial budgets are from Ministry of Finance materials. FY2028 is a Ministry of Finance projection. FY2035 is a Fiscal System Council high-yield scenario.

Debt scale. IIF Global Debt Monitor, Q4 2024. US issuance is from SIFMA's 2024 gross Treasury issuance total.

Comparability limits. Central- and general-government scopes differ across sources. Fiscal vintages differ by country. Gross issuance is not the same as net borrowing. Projections and scenarios are not observations.

This note reports the available fiscal observations and their definitions. Missing comparable series are left unfilled.